

didn't do anything to produce that bull market, and I didn't foresee it; I was merely in the right market at the right time. But the salutary impact of declining interest rates must not be underestimated or the resulting returns misattributed.

When I look back at the period in which my partners and I have invested, we could have been more aggressive than we were. We could have taken more risk. We could have actively pursued more winners and taken a chance on more iffy credits. We could have put more faith in the Fed to keep the economy growing and the markets aloft. Given how benign the investment climate turned out to be in this period overall, doing these things may well have led to higher returns. I'm unlikely to get a chance to find out if they will constitute a winning approach for the years ahead, however, as Oaktree isn't likely to change its spots in this regard.

Prevailing conditions truly have combined to make the last 45 years in the credit market the "best of times." Credit investors have benefited from economic growth, declining default rates, low inflation, the downtrend in interest rates, and the increased popularity of credit assets. Will the coming years be as kind? There's no way to know. But I think we can all agree that we're unlikely to see much more in the way of interest rate declines, given today's historic lows, meaning there won't be a significant tailwind from that source. In addition, the credit market, like most others, is now much more "efficient," meaning it'll be harder to find as many bargains as we did in the past. As I say in response to most questions about the macro future, "We'll see."

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The market for debt securities, like all aspects of investing—and, in fact, most areas of human endeavor—has evolved greatly and is sure to continue to do so. How-to books written to treat the questions of